

Second supplementary opinion of the National Commission for Data Protection regarding bill no. 7961 amending 1° the amended law of December 19, 2002 concerning the commercial register and companies as well as the accounting and annual accounts of businesses; 2° the amended law of January 13, 2019 establishing a Register of Beneficial Owners

Deliberation no. 29/AV13/2024 of May 16, 2024.

In accordance with Article 57.1.e) of Regulation (EU) 2016/679 of April 27, 2016 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter referred to as the "GDPR"), to which Article 7 of the law of August 1, 2018 organizing the National Commission for Data Protection and the general regime on data protection refers, the National Commission for Data Protection (hereinafter referred to as the "National Commission" or the "CNPD") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to processing."

Furthermore, Article 36.4 of the GDPR states that "Member States shall consult the supervisory authority in the context of the preparation of a legislative proposal to be adopted by a national parliament, or a regulatory measure based on such a legislative measure, which relates to processing."

On March 31, 2023, the CNPD notified the bill no. 7961 amending 1° the amended law of December 19, 2002 concerning the commercial register and companies as well as the accounting and annual accounts of businesses; 2° the amended law of January 13, 2019 establishing a Register of Beneficial Owners (hereinafter referred to as the "bill").

On December 15, 2023, the National Commission issued its supplementary opinion on a series of parliamentary amendments to the bill, approved by the Justice Committee in its session of June 21, 2023.

Deliberation no. 26/AV13/2023 of March 31, 2023, of the National Commission for Data Protection, parliamentary document no. 7961/04.

Deliberation no. 104/AV44/2023 of December 15, 2023, of the National Commission for Data Protection, parliamentary document no. 7961/07.

CNPD

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During its meeting on April 18, 2024, the Justice Committee adopted a new series of parliamentary amendments (hereinafter referred to as the "amendments"). By letter dated April 29, 2024, the Minister of Justice invited the CNPD to express its opinion on the amendments to the said bill.

I.

On amendments no. 2 and no. 8

It is appropriate to commend the authors of the amendments for listing the files of administrations and public services to which the manager of the commercial register and the register of beneficial owners (hereinafter referred to as the "manager" or the "LBR") may have access within the limits of the missions assigned to it, under the amended law of December 19, 2002 concerning the commercial register and companies as well as the accounting and annual accounts of businesses (hereinafter referred to as the "RCS law") and the amended law of January 13, 2019 establishing a Register of Beneficial Owners (hereinafter referred to as the "RBE law").

These amendments specify that this access could be made for the purpose of verifying the information recorded in the commercial register (hereinafter referred to as the "RCS") or in the register of beneficial owners (hereinafter referred to as the "RBE"), and for keeping the information recorded therein up to date. The authors of the amendments are to be congratulated for such clarifications.

II.

On amendment no. 6

Amendment no. 6 aims to supplement Article 11 of the RBE law (Article 36 of the bill) following the formal opposition expressed by the Council of State in its supplementary opinion of February 6, 2024. The authors of the amendments have thus supplemented the provisions of the aforementioned Article 11 by specifying that access to the RBE is also possible for journalists and associations established in the European Union who have "a legitimate interest in the context of the fight against money laundering and against the financing of terrorism."

Regarding the absence of a definition of the notion of legitimate interest in the text under review, the CNPD refers to its observations made in point 36 of its supplementary opinion of December 15, 2023.

3 Amendment no. 2

4 Amendment no. 8

SAVJS 60.918 of the Council of State of February 6, 2024, parliamentary document no. 7961/08.

6 Deliberation no. 104/AV44/2023 of December 15, 2023, of the National Commission for Data Protection, parliamentary document no. 7961/07.

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8.

Furthermore, the National Commission wishes to reiterate its observations made in its aforementioned supplementary opinion, in which it "reminds that any dissemination of personal data obtained through the access of professional journalists to the RBE must contribute to a debate of general interest (here, in the context of the fight against money laundering and the financing of terrorism) and not merely satisfy the curiosity of a certain readership outside the purposes for which the RBE was established."

9.

The authors of the amendments further specify that they took the opportunity "to add to point 3° of paragraph 2 a clarification regarding individuals who intend to conclude a transaction with a registered entity by inserting the clarification provided in the upcoming AML directive, which states that the request for consultation must be guided by the fact that these individuals want to avoid any link between the transactions they intend to conclude and money laundering and the financing of terrorism." These clarifications should be welcomed.

III.

Final Remarks

10. To the extent that a number of developments expressed by the CNPD regarding the provisions related to the draft law, and more particularly the provisions related to the RBE aspect, have not been taken into account, the National Commission wishes to refer to all its developments contained in its supplementary opinion of December 15, 2023, under point 1 titled "the amendments to the modified law of January 13, 2019 establishing a register of beneficial owners."

Thus adopted in Belvaux on May 16, 2024.

The National Commission for Data Protection

Tine A. Larsen

President

Thierry Lallemand

Commissioner

Alain Herrmann

Commissioner

7 Deliberation No. 104/AV44/2023 of December 15, 2023, of the National Commission for Data Protection, parliamentary document No. 7961/07, point 35, page 9.

8 Deliberation No. 104/AV44/2023 of December 15, 2023, of the National Commission for Data

Protection, parliamentary document No. 7961/07, 1, pages 3 to 15.

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